

him a full-time income. He is now sourcing deals and living a life he never
.imagined was possible

The BMV trap

Let me show you the figures. Please note that Steve had a total of £58,000
.to invest when we met

:Here's Steve's dream investment that took him 500 hours to find

Asking price: £190,000

Agreed sale: £152,000

Renovation: £10,000

Monthly mortgage payments: £335

Monthly rent: £700

:In Steve's mind this was an incredible deal. He had three options

.Refinance it and pull some of his money out (1

Rent it out and make a profit of £365 per month which would be a (2
.9 per cent ROI

.Buy and sell and make at least £30,000 (3

.Doesn't this sound like a great deal? Let me explain why Steve pulled out

Just because the asking price is £190,000 it doesn't mean that this (1

is the true value. After doing some research on the course he

.discovered that it is actually only worth £172,000

Refinancing after a light £10,000 refurbishment is just not going to (2
happen. All the money you put into this deal is staying there

You could buy it and sell it for £172,000 but there is now only (3

£20,000 to play with, not £40,000. By the time you have paid your

legal fees both when buying and selling, plus estate agent fees and

stamp duty, you would be left with around £10,000 profit, assuming all